

Hatchin Unit Economics

What it costs, what it earns, and why the margin holds as it grows. A visual walk-through of the corrected model. Generated 2 Aug 2026.

80% gross margin	\$170 to \$4,400 fixed bill scales	about 1 company to break even	\$ and ₹ at ₹86 / \$1
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Fixed infrastructure is not flat. It steps up with users, but sub-linearly, which is why the margin widens at scale.

Contents

Tap any line to jump to it. The bookmarks panel in your PDF reader has the same list, and every source link at the end is clickable.

- 1 The business, in five numbers

- 2 What one customer costs (fixed folded in)

- 3 The fixed monthly bill, every line

- 4 Running cost as users grow

- 5 Pricing and margin by region

- 6 The P&L across scale

- 7 The growth plan

- 8 What is next: premium features, capped

- 9 Sources and method

1. The business, in five numbers

Hatchin is cheap to run, keeps most of every rupee it earns, and gets more valuable the more a customer uses it. Five numbers make the case.

80%

We keep about 80 cents of every dollar. After AI, the card fee and tax. By country: US 83%, UK 80%, India 53%.

23x

One company is worth 23 solo users, up to \$45,000 (₹39L) over its life, because teams pay more and stay longer.

1

Break-even takes about one company, or 12 solo subscribers, to cover the monthly bill.

\$2B

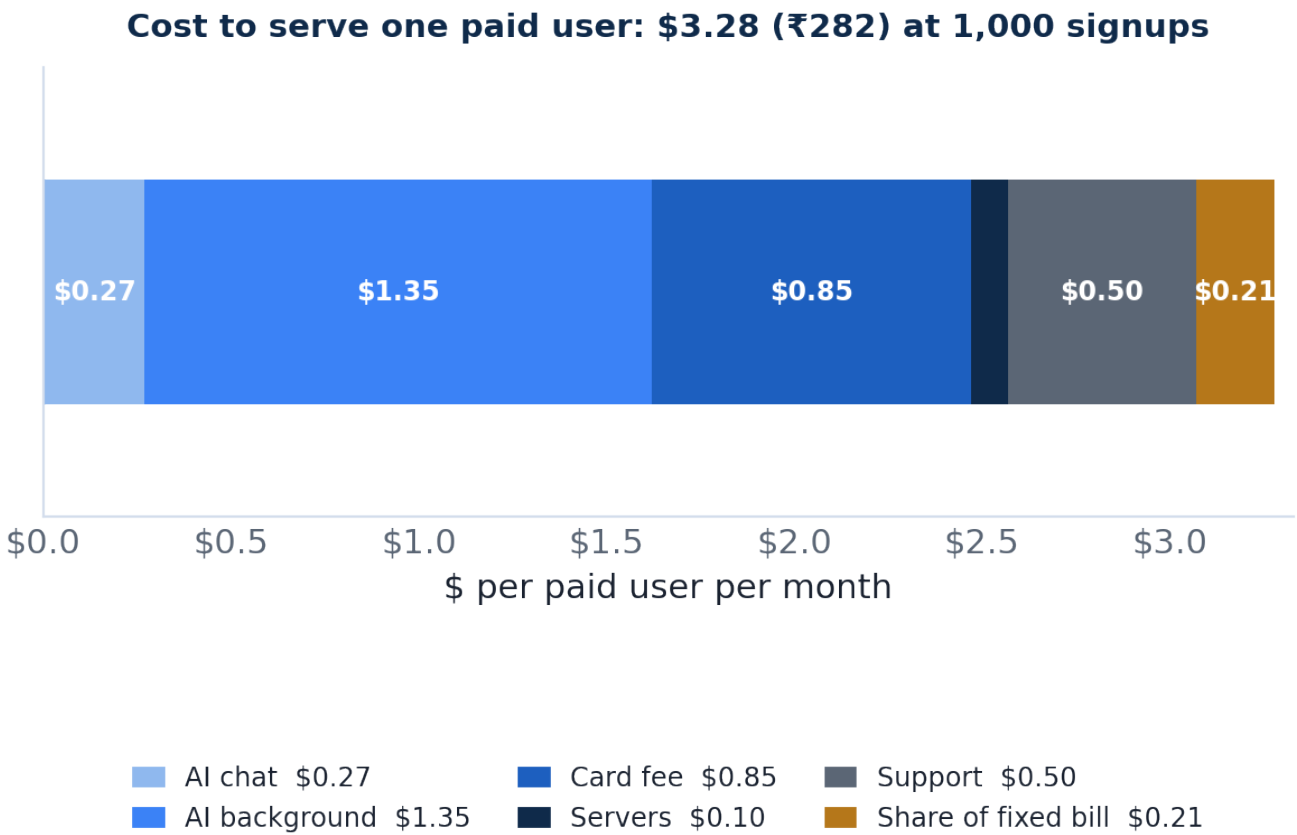
The reachable market, about ₹17,000 crore a year. We need well under 1% of it.

Profit

Even the worst case makes money: \$3,198 (₹2.75L) a month if everything goes against us.

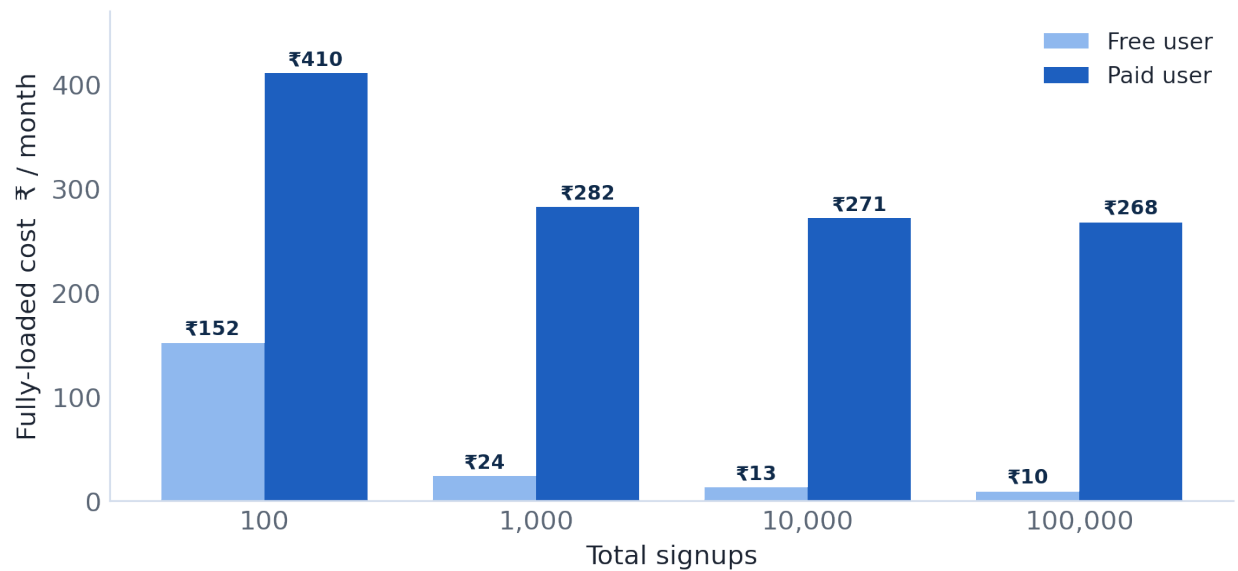
2. What one customer costs

Every customer costs two things: what they personally use (chat and tasks), plus their share of the one fixed monthly bill split across everyone. Both are shown together below, so nothing is hidden.



Why 'a free user costs ₹8' is only true at scale

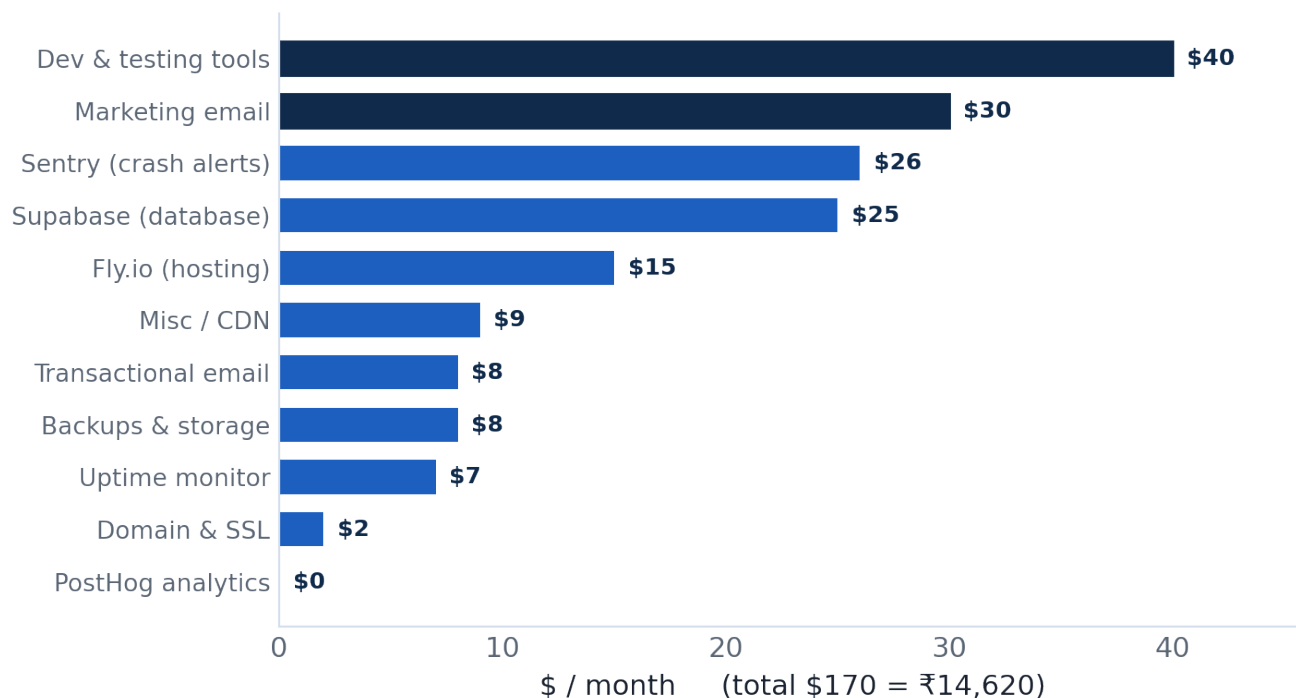
Each user's share of the fixed bill shrinks as the user base grows. Here is the fully-loaded cost, what they use plus their share, at four sizes.



At 100 users the shared bill dominates (a free user is ₹152, a paid user ₹410). By 10,000 users it is ₹13 and ₹271. Paying customers cover the bill; free users do not.

3. The fixed monthly bill, every line

What it is: the base cost to keep Hatchin live whether one person uses it or a thousand, separate from the per-customer AI cost. Why it exists: the product needs a database, server, email, monitoring and backups before a single user arrives. Real published vendor prices, July 2026.



Total at launch scale: \$170 (₹14,620) a month, covered by about 1 company or 12 solo users. It is not flat: it scales to about \$850 (₹73,100) at 10,000 signups and \$4,400 (₹3.78L) at 100,000, staying well under 10% of revenue.

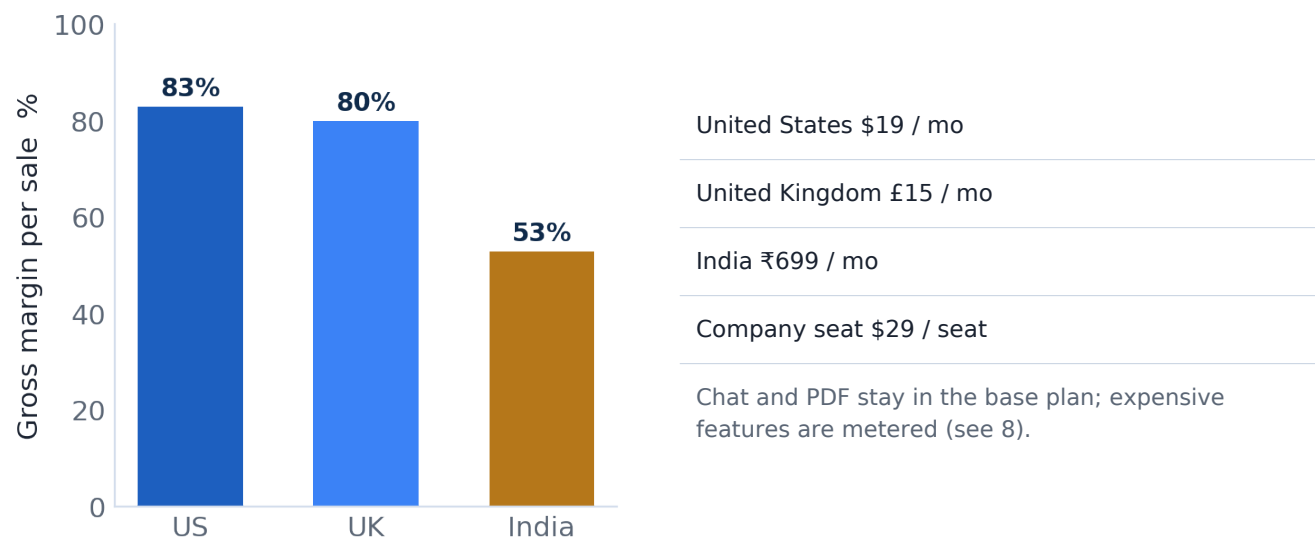
4. Running cost as users grow

The same curve as the cover, read as a table. Ten times the users from 10k to 100k costs about five times the infrastructure, not ten, so the margin widens.

Signups	Active (30%)	Bill \$/mo	Bill ₹/mo	\$ / signup	What steps up
100	30	\$170	₹14,620	\$1.70	1 small node, Supabase base
1,000	300	\$210	₹18,060	\$0.21	bigger node + failover, email tier
10,000	3,000	\$850	₹73,100	\$0.085	2 to 3 nodes + Redis, DB add-on, PITR
50,000	15,000	\$2,250	₹1,93,500	\$0.045	5 to 6 nodes, read replica
100,000	30,000	\$4,400	₹3,78,400	\$0.044	10 to 12 nodes, Supabase Team

5. Pricing and margin by region

Same dollar cost, three wallets. Individuals pay a locally-priced subscription; the margin per sale is highest where the price is highest.



India runs a thinner 53% margin by design, priced for the local wallet; the weekly usage cap keeps even a heavy India user profitable.

6. The P&L across scale

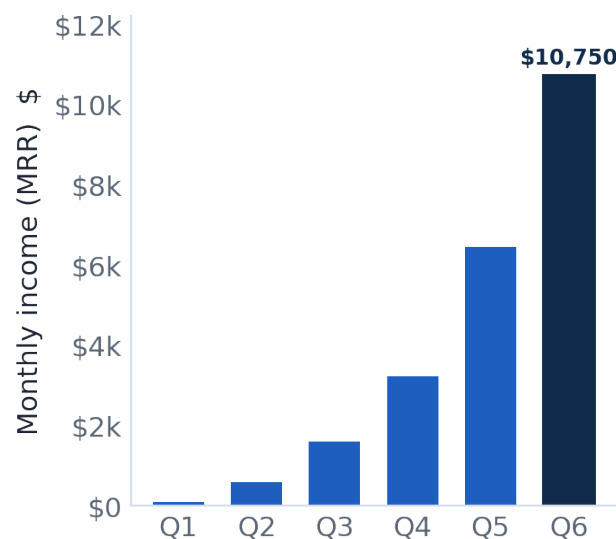
Gross profit and margin at four sizes, on the base case (4% of signups pay, \$19 Pro, B2C only). Gross profit is revenue minus AI, payment fees and the fixed bill. It excludes team salaries and tax, which are a separate layer.



The business crosses from loss to profit around 300 signups and settles near an 80% gross margin as the fixed bill amortises across more paying customers. B2B seats are upside on top of this.

7. The growth plan

One realistic path over 18 months, a plan, not a promise, since Hatchin is pre-revenue. It rests on about 550 signups a month, 3 in 100 paying, and roughly one company a month.



By quarter 6 that is a \$129,000 (₹1.1 crore) a year run rate, still climbing. The business covers its running cost by quarter 2. If signups come slower, the shape stays the same, it just arrives later, nothing about the economics breaks.

8. What is next: premium features, capped

The next milestone adds a coding agent, image generation, audio and richer exports. The rule: cheap features stay in the base plan, expensive ones are metered and capped, so no feature can cost a customer more than they pay.

Planned feature	Roughly per use	How we price it
PDF and document export	a fraction of a cent	Free, in the base plan
Image generation	\$0.02 to \$0.08 (₹2 to ₹7)	Monthly allowance, then per image
Audio (voice, narration)	\$0.02 to \$0.10 (₹2 to ₹9) / min	Per-minute cap, weekly ceiling
Coding agent	\$0.50 to \$5+ (₹43 to ₹430+) / task	Metered credits or a Builder tier

The coding agent is the outlier: one task can cost 50 to 500 times a normal task and adds a code sandbox to the fixed bill, so it is priced as usage, not unlimited. That keeps it a profit centre instead of a leak. These are planning estimates; exact caps are set when each ships.

9. Sources and method

The cost side rests on published, checkable prices (July 2026). The behaviour side uses industry benchmarks until Hatchin's own data replaces them. Links are clickable.

AI model prices. DeepSeek V4-Flash \$0.14 / \$0.28 per 1M tokens.

https://api-docs.deepseek.com/quick_start/pricing

Free tier for simple messages. Groq hosted Llama 3.3-70B, booked at \$0. <https://console.groq.com>

Database. Supabase Pro \$25 / month. <https://supabase.com/pricing>

Hosting. Fly.io compute. <https://fly.io/docs/about/pricing>

Payments. Stripe 2.9% + \$0.30; Razorpay for India. <https://stripe.com/pricing>

Taxes and FX. India GST 18%, UK VAT 20%, corporate tax about 25%; ₹86 to \$1.

<https://www.gov.uk/vat-rates>

Conversion (3% free-to-paid) and churn are industry averages, not Hatchin data yet. Token usage, cache-hit rate and provider mix are measured from Hatchin's own code and logs. Full working in the 22-tab economics spreadsheet.